

FRVO

FRVO N/A

|     |                 |                             |                                    |                       |
|-----|-----------------|-----------------------------|------------------------------------|-----------------------|
| Buy | \$24.45 ▲ 2.73% | 12M Price Target<br>\$38.00 | 52-Week Range<br>\$23.10 – \$42.65 | Market Cap<br>\$7.20B |
|-----|-----------------|-----------------------------|------------------------------------|-----------------------|

FRVO: Geothermal Play Battered But AI Power Demand Is Real

WHAT HAPPENED

- FRVO is trying to bounce after a brutal week — the stock dropped ~18% from July 1 to July 7 (from \$29 to \$23.80), and today's tiny 2.7% bounce on almost no volume (563K shares vs. usual 3M+) tells me this is a dead-cat bounce, not real buying. Something spooked holders last week and nobody's rushing back in.
- Zooming out, this thing is sitting at 7% of its 52-week range — meaning it's basically at the bottom of where it's traded all year. That's usually either a fat pitch or a value trap, and the low volume today suggests the market hasn't made up its mind yet.

WHY IT MATTERS

Here's the setup: FRVO is a next-gen geothermal energy company (Bill Gates-backed, Nvidia partnership, PNNL partnership on digital twins) — theoretically the perfect play on AI data centers needing 24/7 clean baseload power. But the stock got cut nearly in half from its 52-week high of \$42, which tells me the market is worried about something specific: probably the earnings miss flagged on June 22, plus fears that the Trump administration will gut clean energy tax credits from the Inflation Reduction Act. The disconnect between the story (AI power crunch = huge tailwind) and the price (near lows) is the whole trade — if geothermal survives the political knife because it's bipartisan-friendly (red-state jobs, energy dominance narrative), this bounces hard. If tax credits get killed in the reconciliation bill, the bear case gets ugly fast.

POLICY & POLITICAL WATCH

The big one: Congress is actively debating rollbacks to IRA clean energy credits, and geothermal has been getting caveated protection because it aligns with the "energy dominance" and baseload power narrative Republicans like. Watch the reconciliation package language — if geothermal keeps its Production Tax Credit (PTC) and Investment Tax Credit (ITC), FRVO's project economics stay intact; if it gets lumped in with wind/solar cuts, project IRRs (returns on invested capital) fall meaningfully. Also worth tracking: BLM permitting reform on federal lands (where most geothermal happens) — the administration has signaled faster permitting, which is a direct tailwind.

IS IT EXPENSIVE?

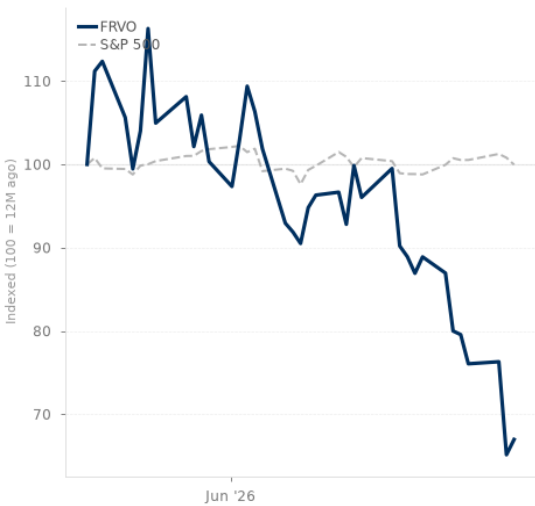
Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$24.45  |
| 12M Price Target    | \$38.00  |
| Upside / (Downside) | +55.4%   |
| Market Cap          | \$7.20B  |
| FY2026E Revenue     | \$210M   |
| FY2027E Revenue     | \$385M   |
| FY2026E EPS         | (\$1.85) |
| FY2027E EPS         | (\$1.20) |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$30.00   | \$26.00   | \$21.00   |
| 6 Months  | \$38.00   | \$30.00   | \$20.00   |
| 1 Year    | \$50.00   | \$38.00   | \$18.00   |
| 2 Years   | \$70.00   | \$48.00   | \$15.00   |
| 5 Years   | \$120.00  | \$75.00   | \$12.00   |
| 10 Years  | \$250.00  | \$130.00  | \$8.00    |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy broadly (+4.83% over 5 days) — the "power for AI" trade is real and rotating in as tech cools off. Anything with baseload generation (nuclear, geothermal, natural gas) is getting a look.

**COOLING OFF:** Technology (-6.06% over 5 days) — megacap tech is taking a breather, which is why FRVO's tech-adjacent story hasn't been enough to save it short-term.

**ROTATION WATCH:** Money is clearly leaving software/tech and hunting for the "picks and shovels" of the AI boom — power, cooling, grid infrastructure. FRVO should benefit but hasn't yet, which is the setup.

**RELATED PLAY:** If you believe the AI power thesis but want less binary risk, look at Vistra (VST), Constellation (CEG), or the nuclear SMR names — they're playing the same trend with more proven business models.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Riding the data center power demand story with existing nuclear + gas fleet — no technology risk, just execution.
- CEG (Constellation): Nuclear plants + hyperscaler PPAs (power purchase agreements — long-term contracts to sell electricity) are printing money.

**FRVO CONTEXT:** FRVO is badly lagging its "AI power" peers — the energy ETF is up nearly 5% in a week while FRVO is down 16%. That tells me the market sees FRVO as the riskiest, most speculative way to play this theme. Which is either your opportunity (if you're patient) or your warning (if you want lower risk).

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**CONVICTION:** 6/10 — The thesis is real but the execution risk and policy risk keep me from pounding the table at these levels.

**POSITION SIZE:** 2-3% of portfolio — small enough that a 40% drawdown doesn't ruin your year, big enough to matter if it doubles.

**ENTRY POINTS:** We're already near the 52-week low (\$23.10) — starter position here makes sense, save dry powder for \$20-22 if it retests lows.

**TIME HORIZON:** 18-36 months — you're waiting for Utah to prove itself commercially and for policy clarity on tax credits. Don't expect quick money.

**WHEN TO BAIL:** If the Utah 33 MW milestone slips past year-end 2026, if tax credits get killed in reconciliation, or if they announce a big dilutive capital raise at these prices — any of those and I'm reducing.

**HEDGING:** Pair it with a natural gas or nuclear name (VST, CEG) — if the AI power theme works you win on both, but if geothermal specifically hits trouble, the safer name cushions the blow.